

a formula that equated the weighted average producer price to Canada, the US, the EU and Russia. That varied widely as gas prices dramatically moved upwards and downwards. When the price of gas was \$1.79 per MMBtu (metric million British thermal unit) about a year ago, it did not even cover the margins of the cost of production of ONGC and OIL, which is around \$3-3.5 per MMBtu,” says Parikh, also the Chairman of the New Delhi-based energy think tank, Integrated Research and Action for Development. Consequently, the public sector oil & gas majors

Marketing and Trading, defaulted on supplying eight shiploads of LNG under a 20-year deal. “Total gas availability was never a constraint; it was only the price that was a hindrance. Since there was a disruption in supplies from long-term contracts, we were unable to secure supplies at the negotiated price,” says Sandeep Kumar Gupta, Chairman & MD of Gas Authority of India Ltd (GAIL).

The government provisionally revised the guidelines for domestic gas supply to CNG for transport and PNG for domestic use, following a *Business Today* story in April last

ing used to work out the half-yearly pricing of APM and non-APM gas,” says Sanjay Kumar, MD of CGD firm Indraprastha Gas, a JV company of E&P firm Bharat Petroleum Corp. and GAIL.

Accepting the key recommendations of the Parikh Committee, the government approved the revised domestic pricing guidelines for gas produced from APM fields of ONGC, OIL, New Exploration Licensing Policy (NELP) blocks and pre-NELP blocks. The price of such natural gas will be 10 per cent of the monthly average of the Indian

ASSESSING THE IMPACT

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CGD FIRMS HAVE REDUCED CNG AND RESIDENTIAL PNG PRICES BY 8-11 PER CENT BASED ON NEW PRICING NORMS

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THIS WILL STABILISE GAS PRICES AND SUSTAIN COMPETITION WITH ALTERNATIVE FUELS TO DRIVE DEMAND

3

GAS PRICES HAVE FLUCTUATED FROM A LOW OF \$1.79/MMBTU IN 2021 TO A HIGH OF \$8.57/MMBTU FOR H2FY23

4

FERTILISER AND POWER SECTOR COMPANIES TO ALSO SIGNIFICANTLY BENEFIT FROM THE MOVE

5

INTRODUCTION OF UNIFIED TARIFFS AND INCREASE IN TARIFF ZONES WILL HELP REDUCE THE TRANSMISSION COST OF NATURAL GAS

SOURCE CRISIL RATINGS, BT RESEARCH

had been incurring huge losses. When prices suddenly spiked to \$6.5 per MMBtu last year, stakeholders' clamour for a simplified mechanism grew louder.

THE GEOPOLITICAL SITUATION further exacerbated the crisis. In the aftermath of the Russian military action in Ukraine, LNG supplies to India were disrupted. A subsidiary of the Russian energy major Gazprom, Gazprom Marketing and Trading Singapore, now a German company called Sefe

year. This was followed by the constitution of the Parikh Committee to recommend changes to the gas pricing mechanism in September. In its report submitted in November, the panel recommended a raft of pricing-related reforms. “One of the key recommendations made by the Committee was that the pricing of APM and NAPM gas should be changed from the existing index of four gas-producing countries' gas pricing to Brent crude. The Indian gas market may not have anything in common with the four indices be-

crude basket and will now be notified on a monthly basis. For the gas produced by ONGC and OIL from their pre-1999 or legacy fields, the APM price will be subject to a floor price of \$4 per MMBtu and a ceiling price of \$6.5 MMBtu for two years. With the new pricing mechanism having come into effect from April 8, CGD players have slashed prices of CNG and residential PNG by 8-11 per cent. “The new mechanism was required to ensure a fair price for both consumers and producers as otherwise, consumers would have